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NEED GST PROCESSES WHERE BUSINESSES ARE ‘TRUSTED’: FM

Taxman’s pre-prosecution arrest powers taken away

Conditions tightened to intercept goods moving across states

Aanchal Magazine
& Siddharth Upasani
New Delhi, October 8



Union Finance Minister Nirmala Sitharaman at the GST Council Meeting in Delhi Thursday. ANI

IN A bid to boost business sentiment, the Goods and Services Tax (GST) Council on Thursday approved sweeping process reforms, ranging from the removal of arrest powers from tax officers at the pre-prosecution stage to a minimum threshold of Rs 10,000 being put in place for issuance of show-cause notices effective retrospectively.

Union Finance Minister Nirmala Sitharaman said the processes must be such that businesses are “trusted”, and that these are not “too intrusive”.

In another big move, the Council has ruled that vehicles carrying goods can only be stopped by tax officers from either the state of the supplier

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● EXPLAINED

‘99% issues’ resolved, door still open

Thursday’s GST process reforms follow September 2025’s sweeping cuts in indirect tax rates on goods and services. And while Finance Minister Nirmala Sitharaman said that they address “99% of issues” related to GST, the “door” for further changes “isn’t closed”.

Govt to put 30% cap on trade margin of 110 non-scheduled cancer drugs

Anonna Dutt
New Delhi, October 8

IN A move to address excessive markups on cancer drug prices, the Centre has decided to cap the trade margin at 30 per cent for 110 non-scheduled cancer drugs, including 35 patented medicines. While the list is still being finalised, it will cover branded and generic, domestic and imported, patented and non-patented medicines.

Trade margin is the difference between the price at which a distributor procures a drug from a pharmaceutical manufacturer, and the final Maximum Retail Price (MRP) paid by the patient.

Sources in the Department of Pharmaceuticals said the move, which is likely to come into effect in about 10 days, is expected to see a fall in prices by up to 70 per cent in some cases.

Officials said an analysis of market data by the National Pharmaceutical Pricing

»CONTINUED ON PAGE 2

Indian IT majors

The move is a big blow for Indian professionals looking to work at some of these companies in the US.

The Permanent Labour Certification Program in the US, also referred to as PERM (Program Electronic Review Management), is a key provision used by American employers to sponsor foreign workers for permanent residency, with several Indian IT companies also relying on the system.

Last month, the US had announced it was suspending Cognizant from the process, but had not mentioned the specific allegations against it, the number of applications affected or the duration of the suspension.

The latest action is a clear broadening of the crackdown on foreign workers that has become a central policy under US President Donald Trump. Technology and IT services companies are facing greater scrutiny over their reliance on foreign workers. Apart from the IT services firms, the US has also suspended Microsoft and Adobe from the programme.

US authorities have stepped up investigations into alleged misuse of the H-1B and PERM programmes, including claims of wage undercutting, fraudulent filings and displacement of

American workers. The scrutiny is especially significant for Indian professionals, who account for a large share of H-1B beneficiaries and employment-based green card applicants.

The key reason behind the suspensions is the US administration's belief that foreign workers hired by these companies were resulting in fewer jobs for American workers. "We are ending the fraud that has fuelled reliance on foreign labour. President Trump's Department of Labour will ensure that American businesses now look first to the most talented workforce in the world, and that's the American worker," Sonderling said.

"This administration knows that American workers are the best and brightest in the world. These jobs that were stolen from them should have gone, and will now go, to Americans first, not foreigners, and especially not foreign fraudsters... We are cutting off the head of the snake," he said.

He said that since 2009, these companies have requested permanent residency for almost 3 million foreign workers. "They've received over 230,000 H-1B visa approvals, and over 100,000 permanent labour certifications — that's hundreds of

thousands of jobs that were taken from American workers," Sonderling said.

PERM is the system through which employers generally obtain labour certification before sponsoring a foreign employee for an employment-based green card. Unlike a visa application, which is primarily made by an individual, the PERM filing is done by the employer on behalf of the worker.

Before filing, an employer must obtain a prevailing wage determination for the position and carry out prescribed recruitment. Broadly, the process is intended to establish that hiring a foreign worker permanently will not adversely affect the job opportunities, wages or working conditions of US workers. Once the Labour Department certifies the application, the employer can proceed to the next stage of the green card process.

The date on which the Labour Department accepts the labour certification application also generally becomes the worker's "priority date", which is effectively their place in the queue for an employment-based immigrant visa. This is particularly important for workers from countries such as India, where demand for green cards far exceeds the number available.

It is different from an H-1B visa, which is a temporary, non-immigrant work visa that allows

US employers to employ foreign professionals in speciality occupations. PERM, in contrast, is part of the process for obtaining permanent residency.

For employees of these IT giants whose green card process has not yet reached the PERM filing stage, the immediate consequence is a delay. The suspension means they cannot make fresh PERM filings, so affected employees cannot secure a priority date and begin moving through the employer-sponsored green card process.

That can be particularly consequential for Indians because they already face a severe backlog. The system also imposes limits on the number of employment-based green cards available to nationals of any one country.

There can also be an H-1B implication for some workers approaching the normal six-year limit on that visa. US rules allow certain H-1B holders to extend their stay beyond six years where a labour certification was filed sufficiently early. Inability to get the PERM process started could therefore become more serious for employees nearing that deadline. Workers who already have approved petitions and are waiting because a green card number is unavailable are in a different position and can, subject to the rules, qualify for H-1B extensions of up to three years at a time.

Cancer medicines

Authority had found that the average trade mark-up for such drugs was approximately 170 per cent, extending up to 700 per cent in some cases. The analysis noted significant differences between the prices at retail outlets, hospitals and on-line pharmacies.

Last month, the Supreme Court, too, had expressed con-

cern over the steep markup on medicines by hospitals, saying that it was "broad daylight dacoity". "This is carnage. Plain and simple. The cancer drug is priced at an MRP of Rs 27,000 despite being supplied to retailers for Rs 2,700," the court had said. "Why not keep a 16 per cent margin on MRP of everything," it had said.

Sources said the list of 110 non-scheduled cancer drugs is being finalised by a committee under the Director General of Health Services. The prices of scheduled drugs, which are part of the National List of Essential Medicines, are already controlled by the government under its Drugs (Prices Control) Order 2013.

"One of the considerations for selecting a medicine (for capping trade margin) is that it should be expensive. This is because a 30 per cent cap on trade

margin for cheaper drugs can disincentivise companies as it would not cover the marketing costs. Other than that, the drug, of course, should be approved for treatment of cancer in India and used frequently," said an official from the Department of Pharmaceuticals.

In 2019, the National Pharmaceutical Pricing Authority had capped trade margins for 42 cancer medicines at 30 per cent. This was found to have resulted in MRP reductions by up to 91%.

Worst of El Niño yet to come, peak likely in December, says UN body

Express News Service
Bengaluru, October 8

THE ONGOING El Niño is set to peak in December and lead to above-average temperatures across large parts of the world in the coming months, the World Meteorological Organization (WMO) has warned.

The UN body further said that there is an increased risk of droughts and floods given that the normal rainfall patterns would see a shift under the influence of the intensifying El Niño conditions. The October-December months will see El Niño reach its peak and the event will extend well into the

2027 spring of the northern hemisphere.

El Niño is a climate pattern marked by unusually warm Pacific waters that disrupts global weather. “El Niño is firmly established and strengthening rapidly, WMO forecasts indicate a near-100 per cent likelihood that it will persist through February 2027, potentially being one of the strongest since at least 1950,” said Celeste Saulo, WMO Secretary-General, in a statement issued on Thursday.

Dry monsoon, hottest summer

This year, India's southwest monsoon season ended in a 13

The World Meteorological Organization has said that there is a near-100% likelihood' that El Niño will persist through February 2027

per cent rainfall deficit. The 2026 monsoon was the fourth driest since 2001. El Niño impacted the country's rainfall during the second half of the season. Many states, including

Maharashtra and Karnataka, have declared drought, with Maharashtra imposing a 10 per cent water cut in many of its districts.

Likewise, Europe experienced one its hottest summers this year with record-breaking temperatures sweeping France, Spain, and the UK. The arid summer left major rivers, including Danube, Rhine, and Thames, dry. A naturally occurring ocean-atmospheric phenomenon recurring once between two to seven years, the El Nino Southern Oscillation (ENSO) has three phases: warm (El Niño), neutral and cool (La Niña).

The sea temperatures along

the equatorial Pacific Ocean, the WMO said, have dramatically risen in recent months thus reflecting the intensifying El Niño event. In August, the temperature in the Niño 3.4 region (which determines the ENSO phase) was 2.5 degree Celsius above normal, officials noted.

El Niño is known to suppress rainfall over India and many places, globally, resulting in droughts. It also pushes temperatures to rise significantly above average. El Niño is declared when the sea temperatures recorded along the equatorial and central Pacific Ocean exceeds 0.5 degrees Celsius from normal.

• ECONOMY

Why edible oils are worst affected by food inflation



HARISH DAMODARAN

WAR, EL Niño and national biofuel mandates — the effects of these are being felt in the global prices of food and, more so, vegetable oils.

The United Nations' Food and Agriculture Organization's (FAO) benchmark food price index averaged 136 points in September. That was the highest level for the index — a weighted average of the international prices of a basket of food commodities over a base period value (taken at 100 for 2014-16) — since November 2022.

Even higher, within food, was FAO's index for vegetable oils. At 198.6 points, it was 18.3% up over September 2025 and the highest after the 211.8 points of June 2022. This index, as the accompanying chart shows, scaled an all-time-high of 251.8 points in March 2022 immediately after Russia's invasion of Ukraine. From there, it fell to 115.8 points by June 2023, as the supply shock from the war ebbed. The last year and more have witnessed a renewed price flare-up.

Blending mandates

Vegetable oils — whether palm, soyabean or rapeseed — can be converted into Fatty Acid Methyl Esters (FAME) through a chemical process called transesterification. It involves reacting triglycerides (which make up 95-98% of the fat content in vegetable oils) with methanol (methyl alcohol) in the presence of a catalyst.

FAME is basically vegetable oil-based biodiesel, which can substitute or be blended with regular diesel derived from crude petroleum oil. That is similar to ethanol — produced from sugarcane molasses and juice or rice, maize and other starch-containing cereal grains — that can be blended with petrol.

According to one estimate made at the Solvent Extractors' Association of India's 'Globoil India 2026' conference in Mumbai last week, about 25% of the world's produc-

• Food prices at highest level since Nov 2022

FAO Vegetable Oil Price Index (2014-2016=100)



SOURCE: FOOD AND AGRICULTURE ORGANIZATION OF THE UNITED NATIONS.

tion of soyabean oil, 28% of palm oil and 29% of rapeseed oil goes as feedstock for making biodiesel, that is, FAME.

That is reinforced by national biofuel mandates enforced by governments. These require oil marketing companies to blend a specified minimum percentage or volume of biofuels into fossil transportation products such as petrol, diesel and aviation turbine fuel (ATF). Just as all petrol sold in India has to contain at least 20% ethanol, Indonesia and Malaysia have mandates for the blending of palm oil-based FAME in diesel.

Indonesia introduced B20 diesel, with 20% FAME content, on a limited scale in 2016. The B20 blend was made mandatory nationwide in September 2018 and further upgraded to B30 in January 2020, B35 in August 2023 and B40 from January 2025. In July 2026, the Indonesian government raised the blend mandate to B50, with a three-month transition period.

Malaysia has a less ambitious biofuel blend programme, with B10 diesel being made compulsory nationwide from September 2019 and a phased rollout of B15 beginning in June 2026. The US is expected to produce 14.94 million tonnes (mt) of soyabean oil in 2026-27 (October-September), out of which 8.07 mt or 54% would be directed towards biofuels. The European Union will, likewise, see 6.1 mt or 57.2% out of its total 10.67 mt rapeseed oil output being diverted for biodiesel and bio-ATF.

• Indonesia's palm oil supply versus demand

(in million tonnes)

	2025	2026*	2027*
Total production	56.55	58.49	56.64
(1) Palm Oil	51.66	53.42	51.73
(2) Palm Kernel Oil	4.89	5.07	4.91
Total Consumption	24.77	27.12	30.2
(1) Food	9.83	10.13	10.43
(2) Biodiesel	12.7	14.69	17.4
(3) Oleochemical	2.23	2.3	2.37
Total Exports	32.34	31.12	26.49

*ESTIMATES, INCLUSIVE OF EL NIÑO IMPACT. SOURCE: GAPKI/INDONESIAN PALM OIL ASSOCIATION.

The impact

Eddy Martono, chairman of Indonesian Palm Oil Association (better known as GAPKI), projects the consumption of his country's palm oil for the production of biodiesel at 14.7 mt in 2026 and 17.4 mt in 2027. That's up from 12.7 mt in 2025.

Moving from B40 to B50 alone will, thus, absorb an additional 4.7 mt of Indonesian palm oil locally, leaving that much less for exports. This could potentially hurt countries like India, which is likely to import roughly 8 mt of palm oil in 2025-26 (November-October), largely from Indonesia and Malaysia.

"For Indonesia, biodiesel not only creates extra domestic demand for palm oil, reducing reliance on the export market, but also helps bring down its energy import bill," an industry source pointed out.

The incentive to divert palm or any other vegetable oil for biodiesel is all the more in today's environment of elevated global petroleum prices. The longer Brent crude stays above \$100 per barrel, thanks to the intensifying West Asia conflict and tightening restrictions on Russian energy flows, the more the likelihood of such "food-to-fuel" diversion.

War and weather

Indonesia's aggressive biofuel mandate — making it the world's first country to implement 50% blending in diesel — comes in

an El Niño year. El Niño, already in a "very strong" phase, is anticipated to peak during October-December and last through March-April next year. Its actual effect on palm oil production would, however, come with a lag of 8-12 months. Oil palm trees typically abort female flowers and young fruit bunches in response to water stress, which then takes time to visibly affect yields.

GAPKI's Martono, for now, reckons Indonesia's overall palm oil output to dip from 58.5 mt in 2026 to 56.6 mt next year. With higher domestic consumption on the back of biodiesel conversion, the world's largest palm oil producer's exports may fall from 32.3 mt in 2025 to 26.5 mt in 2027 (see table).

But it isn't just palm oil. Russia and Ukraine are harvesting bigger sunflower-seed crops in 2026-27 (21 mt and 13 mt respectively) than the previous year's levels (17.5 mt and 10.7 mt). Their respective oil production is also slated to go up from 6.9 mt to 7.8 mt and 4.5 mt to 5.4 mt.

For the world's two leading sunflower producers, though, the constraint is logistical — arising from the two belligerents striking at each other's port infrastructure and storage terminals. Navigation through the Sea of Azov has stopped since July 10, while operations at Black Sea ports are suspended. Alternative routes, through ports on the Baltic, Caspian and Far East seas or overland rail links, are costly and overloaded.

"We have a strange situation where the producers are eager to sell their ample supplies and importers want to buy, but both are helpless in the face of war," the earlier-quoted industry source noted.

For India, El Niño could bring down domestic edible oil production. "Our current estimate for 2026-27 is 9.2 mt, as against 9.7 mt in 2025-26. Imports will correspondingly rise from 16.8 mt to a new record of 17.2 mt. The latter would mainly comprise 8.2 mt of palm, 5 mt of soyabean, 3.5 mt of sunflower oil," said Nirav Desai, managing partner at GGN International, an Indore and Rajkot-based vegetable oil broking house-cum-research firm.

Landed prices of imported crude palm, soyabean and sunflower oil are now at \$1,245, \$1,312 and \$1,460 per tonne, as against their corresponding October 2025 average of \$1,164, \$1,182 and \$1,293, respectively.

• HEALTH

Angioplasty: When is stenting necessary, when is it not?

Rinku Ghosh
New Delhi, October 8

KERALAM CHIEF Minister V D Satheesan's call for a campaign against "unnecessary" angioplasty — a procedure to open blocked heart arteries — has sparked a debate among doctors. Satheesan said some hospitals were carrying out angioplasty despite there being no medical need for it, putting the focus on a procedure that can be life-saving in some situations but may not be necessary in others.

The Indian Medical Association (IMA) has agreed that unnecessary investigations and treatment should be avoided, but has cautioned against broad claims about unnecessary angioplasty. Such statements, it said, could undermine patients' trust in doctors and even prompt some to delay or refuse procedures that are genuinely life-saving.

Keralam is among the country's largest users of coronary stents, ranking third in reported stent use after Maharashtra and Karnataka, according to National Interventional Council data.

Cardiologists say angioplasty is not required for every patient with chest pain, but it should not be delayed when a patient is having an acute heart attack, when blood flow to a part of the heart is suddenly blocked because of blood clotting over broken plaque, depriving the heart muscle of oxygen. The decision, they stress, has to

be made on the basis of a patient's clinical condition, investigation and risk factors.

When do we need angioplasty?

"Angioplasty can be life-saving when performed promptly during a heart attack. However, in non-acute situations or stable coronary artery disease, (when the heart's arteries are narrowed, predictable and do not pose an immediate emergency) its role is more limited. Several large studies have shown that, for most patients with stable disease, routine angioplasty and stenting do not provide additional protection against death or heart attack compared to treatment with medicines only," says Dr Ambuj Roy, professor of cardiology, All-India Institute of Medical Sciences (AIIMS), Delhi.

According to him, stent or bypass surgery is particularly considered when there are high-risk coronary blockages "that place a large amount of heart muscle in jeopardy, or when troublesome angina (chest pain) persists despite an adequate trial of medical therapy."

What percentage of plaque is required for the procedure?

According to protocol, a coronary artery blockage generally requires at least 70% narrowing (or 50% in critical areas like the left main artery) before a stent is considered necessary. Mild blockages under 50% are typically managed non-invasively

What is an angioplasty?

• During a heart attack, a blood clot can suddenly block a coronary artery, cutting off blood flow to part of the heart.

• Angioplasty can restore blood flow and save lives in such situations.

• It is a procedure to open a narrowed or blocked heart artery with a small balloon, often followed by placement of a stent or a mesh bridge to widen it for oxygenated blood to flow.

• Modern stents are drug-coated and, with anti-clotting medicines, are built to last a lifetime.

• But finding a blockage on an angiogram does not automatically mean a stent is needed.

through diet, lifestyle changes, and medications like statins. "For moderate, borderline blockages between 50% and 70%, we need to test functional blood flow to determine if the heart muscle is actually deprived of blood before deciding whether to place a stent," says Dr Balbir Singh, chairman, Cardiac Sciences, Max Healthcare.

Who should get an angiogram (the heart imaging test)?

In patients with chest pain but not having a heart attack, doctors first estimate the pretest probability or how likely the patient is to have significant coronary artery disease. "This estimate is based on factors such as age, sex, symptoms and other risk factors, including smoking, family history and existing medical conditions. If the estimated pre-test probability is very high — above 85% — guidelines may support angiography. If it is very low — below 15% — further testing may not be necessary," says Dr Akshay Ashok Bafna, HOD Cardiology at Rajarshi Chhatrapati Shahu Maharaj Government Medical College, Kolhapur.

What drives patient anxiety?

Unfortunately, information asymmetry can limit a patient's ability to make a truly informed choice. "Faced with an angiogram showing a 70% or 90% blockage, patients depend heavily on their treating cardiologist to explain whether a stent is likely

to prolong life, prevent a heart attack, relieve symptoms or add little to good medical therapy," explains Dr Roy.

It is the overuse of stents in these situations that has, at times, brought an otherwise life-saving treatment into disrepute. "This has in recent times been amplified due to wide availability of insurance schemes. Unfortunately, there has been a potentially dangerous consequence: patients refuse stents even during an acute heart attack, when timely angioplasty can save lives and preserve heart muscle," he says.

Dr S Ganapathy, surgeon and public health activist from Keralam, points to another source of anxiety for patients: the difficulty of interpreting cardiac tests without the right clinical context. Even normal variations in an ECG can differ with age, he says. "An ECG of a 30-year-old is different from that of a 50-year-old," he explains, noting that variations in ECG waves can sometimes add to a patient's anxiety when they are not properly explained. Such anxiety, he says, can make patients vulnerable to inappropriate medical advice. "Some people can prey upon these anxieties," he cautions, making it important for patients to understand that an abnormal-looking test does not, by itself, mean that an invasive procedure such as angioplasty is necessary.

INPUTS FROM ANURADHA MASCARENHAS
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WHILE GST COUNCIL DID NOT DISCUSS TAX RATES, IT ISSUED A BIG CLARIFICATION FOR E-COMM OPERATORS

Service sector to working capital: Key gains from GST process reform

Aanchal Magazine & Siddharth Upasani
New Delhi, October 8

THE PUSH for process reforms by the Goods and Services Tax (GST) Council's recommendations on Thursday are set to have a wide-ranging impact on a number of segments of the economy, with the service sector key amongst them.

Companies beyond the service sector will also benefit from quicker availability of input tax credit and refunds, which will help unlock working capital for them.

The Council recommended amendments to Section 54(3) of the Central Goods and Services Tax Act to provide for refund of accumulated input tax credit (ITC) on account of capital goods in case of refund pertaining to zero-rate supplies and for input services and capital goods under inverted duty structure.

The ITC refund on capital goods, such as plant and machinery, will be spread over 60 months. While the change for capital goods will come into effect from April next year, that for input services can be availed from November 1, 2026, Finance Minister Nirmala Sitharaman said. "Including input services in inverted duty refunds from 1 No-

vember 2026, and plant and machinery from 1 April 2027, is a big step, and it will help fully achieve the objective of the recent rate rationalisation, which benefited consumers but left many businesses with accumulated credit," Abhishek Jain, Indirect Tax National Head and Partner, KPMG in India, said.

"Major sectors including FMCG, pharma and food will now be able to monetise this credit and free up working capital."

A positive for service exports

Another major change for the services sector was the relief given for the export of services, by aligning the tax treatment under GST laws with the practice on ground. This recommendation of the Council will help when billing is done through an overseas branch of a company. For instance, an Indian firm that serves a foreign client through its own branch abroad will get export benefits. The condition in the law that stood in the way is being removed, even though foreign exchange is received in the normal course, an official said. Analytics firms, design studios, engineering consultancies and the offices of global companies run from India will be covered under this. For contract manufacturing and



FM Sitharaman with chief ministers, officials of states and UTs. EXPRESS

processing, India is now placed on the same tax footing as competing locations, the official added. Citing the example of a testing laboratory which receives a prototype from a foreign client, tests it, sends back the report, and is paid in foreign exchange, an official explained that the place of supply followed where the work was performed.

"It will now follow the location of the customer, and such work therefore qualifies as an export. This opens the whole field of testing, certification, repair, calibration, research, and analysis to export treatment, and India has substantial capacity in all of them." With services exports a key contributor to India's foreign ex-

change — India had a services trade surplus of almost \$17 billion in August compared to a merchandise trade deficit of \$27 billion — Thursday's decisions are significant for the services sector.

E-commerce clarification

While the GST Council's meeting on Thursday did not discuss tax rate, it issued an important rate clarification for e-commerce operators, noting that the GST rate on delivery services provided by unregistered riders through e-commerce platforms will be 5%.

"Platforms built on different commercial models have been reading the same provision dif-

ferently, so the same delivery to the same customer has carried tax differently depending on how the platform arranges its contracts. The tax on a booking will turn on the service that is actually delivered. The same delivery will bear the same tax, whichever way it is routed," an official explained.

Meanwhile, the GST Council also recommended that when a good is supplied to an overseas buyer — although the delivery is made in a Special Economic Zone (SEZ) or Free Trade Warehousing Zone (FTWZ) — and the payment is received in a convertible foreign currency or rupees as permitted by the Reserve Bank of India, then the good in question will qualify as having been supplied to an SEZ or FTWZ.

"This will provide certainty regarding zero rating benefit to Indian manufacturers making supply of goods for overseas buyers by making delivery to them in an SEZ/FTWZ for warehousing or further processing," the finance ministry said in a statement.

Further, the Council has recommended that a circular be issued to clarify various issues related to the receipt of payment in foreign exchange or Indian rupees, as permissible, for the export of goods and services.

